

CASE STUDY 1

Colgate vs Dant Kanti: When Consumer Perception Becomes More Powerful Than Product Performance

Company Background

For more than eight decades, Colgate has dominated India's oral care market and has become one of the country's most recognized FMCG brands. Generations of Indian consumers have grown up believing that Colgate represents superior dental protection, scientific research, and family trust. The brand successfully established itself through continuous communication emphasizing dentist recommendations, cavity protection, healthy teeth, and oral hygiene education. As a result, many households developed a strong psychological association between Colgate and dental health, making the brand almost synonymous with toothpaste itself.

The Changing Market

During the last decade, India's oral care industry witnessed significant changes. Rising health consciousness, increasing disposable income, growing preference for natural products, and greater awareness about ingredient safety transformed consumer expectations. Consumers who earlier selected toothpaste primarily on the basis of habit began paying attention to herbal ingredients, chemical composition, sustainability, and product claims. Digital platforms exposed consumers to information regarding fluoride, parabens, artificial preservatives, activated charcoal, Ayurvedic formulations, and herbal extracts. Consequently, consumers started questioning whether traditional multinational brands continued to offer the best value.

Emergence of Herbal Competitors

Capitalizing on this changing consumer mindset, Patanjali introduced Dant Kanti toothpaste with a strong Ayurvedic positioning. Unlike Colgate, which emphasized scientific expertise and clinical testing, Dant Kanti highlighted traditional Indian herbs, Ayurveda, and natural healing. Television advertisements repeatedly communicated that ancient Indian medicinal knowledge offered safer and healthier alternatives to chemical-based oral care products. This positioning resonated particularly well with consumers seeking healthier lifestyles and products perceived as natural. Within a few years, Dant Kanti emerged as one of the fastest-growing toothpaste brands in India, forcing established players to reconsider their communication strategies.

Consumer Perception Rather Than Product Performance

An independent consumer research agency conducted a blind product evaluation involving 500 toothpaste users from Delhi, Bengaluru, Ahmedabad, Lucknow, Pune, and Kochi. Participants were asked to brush their teeth using unbranded toothpaste samples without knowing the manufacturers. Surprisingly, participants found it difficult to consistently distinguish between Colgate, Dant Kanti, and several competing brands in terms of cleaning effectiveness, freshness, and overall satisfaction. However, when identical samples were presented again with their original brand names and packaging, consumer evaluations changed dramatically. Colgate received significantly higher ratings for safety, scientific credibility, and effectiveness, while

Dant Kanti received superior ratings for naturalness, herbal quality, and long-term health benefits. The experiment demonstrated that consumers evaluated products differently once brand identity became visible, indicating that perception strongly influenced product evaluation.

The Role of Advertising and Selective Exposure

Marketing researchers further observed that consumers selectively exposed themselves to advertisements that reinforced their existing beliefs. Long-term Colgate users frequently watched and trusted advertisements featuring dentists explaining cavity protection and enamel care. These consumers tended to ignore social media discussions criticizing multinational products. In contrast, consumers already interested in Ayurvedic products actively followed wellness influencers, yoga practitioners, and herbal medicine advocates who promoted natural lifestyles. They frequently engaged with online content emphasizing herbal ingredients while dismissing scientific evidence presented by multinational brands. Thus, consumers deliberately selected information that confirmed their existing preferences instead of objectively evaluating all available evidence.

Perceived Risk During Brand Switching

Despite increasing curiosity about herbal toothpaste, many consumers hesitated to switch permanently from Colgate. Parents particularly expressed concerns that changing brands might negatively affect their children's dental health. Older consumers believed that Colgate had protected their family's oral health for decades, making experimentation appear risky. Even consumers who appreciated Dant Kanti's herbal positioning often continued purchasing Colgate because they perceived lower functional and psychological risk. They believed that choosing a familiar and trusted brand reduced uncertainty, even when they acknowledged that competing products offered attractive benefits.

Influence of Packaging and Brand Image

Packaging also played a significant role in shaping consumer perceptions. Colgate's white and red packaging, combined with images of healthy smiling families and dental professionals, reinforced perceptions of scientific expertise and reliability. In contrast, Dant Kanti's green colour scheme, herbal illustrations, and Sanskrit-inspired branding communicated naturalness, purity, and traditional wisdom. Consumer interviews revealed that many respondents associated packaging colours and visual design with product effectiveness before reading any product information. Thus, visual identity itself influenced expectations regarding product quality and performance.

Digital Consumer Behaviour

The increasing influence of digital media further complicated consumer perceptions. YouTube reviewers compared toothpaste ingredients, Instagram influencers recommended herbal lifestyles, and dentists uploaded educational videos explaining oral health. Consumers frequently encountered conflicting information. Some experts recommended fluoride-based toothpaste for cavity prevention, while wellness influencers advocated fluoride-free

alternatives. Online reviews varied considerably, creating information overload. As a result, many consumers experienced confusion rather than clarity, making perception even more influential than objective product attributes during purchase decisions.

The Marketing Dilemma

Colgate India's senior management recognized that while consumers continued trusting the brand, changing perceptions among younger consumers represented a long-term strategic challenge. Internal reports indicated that Generation Z consumers increasingly preferred products described as natural, sustainable, cruelty-free, and environmentally responsible. Marketing executives debated whether Colgate should continue emphasizing scientific superiority or reposition itself by introducing stronger herbal communication. Some executives proposed expanding Colgate's herbal product portfolio, while others feared that doing so might weaken the brand's long-established scientific positioning. The leadership team realized that consumer perception—not merely product quality—would determine future competitive success.

The Chief Marketing Officer concluded the meeting with a single strategic question:

"If consumers purchase what they believe rather than what laboratory tests prove, should Colgate continue selling science, or should it begin selling naturalness?"

Questions

- Explain how consumer perception influenced evaluations of Colgate and Dant Kanti despite similar product performance.
- Identify the role of selective exposure in shaping consumer beliefs.
- Why did many consumers perceive Dant Kanti as healthier despite limited objective comparison?
- Should Colgate reposition itself around herbal ingredients while maintaining scientific credibility?
- Develop a perceptual repositioning strategy that would help Colgate attract younger consumers without losing existing loyal customers.
- If you were the Marketing Director of Patanjali Dant Kanti, how would you strengthen consumer perception while competing against Colgate's established brand equity?

Case Study 2- Hermès: When Consumers Desire What They Cannot Easily Buy

Introduction

On a pleasant Saturday morning in Singapore, thirty-two-year-old investment banker Riya Kapoor entered an Hermès boutique with a clear objective. After receiving a substantial promotion at her multinational investment firm, she had decided to purchase her first Birkin handbag. Over the previous five years, she had admired the bag through fashion magazines, celebrity interviews, luxury influencers, and social media. She had carefully researched its craftsmanship, leather options, colour combinations, and resale value. Financially, she was fully capable of purchasing the handbag, which retailed for approximately USD 15,000 depending on the leather and hardware.

However, the sales associate politely explained that Birkin bags were not available for immediate purchase. There was no visible display, no official waiting list, and no assurance regarding delivery. Instead, customers were expected to establish a purchasing relationship with the boutique over time by buying other Hermès products and demonstrating genuine appreciation for the brand's craftsmanship and heritage. Only after developing such a relationship might they receive an opportunity to purchase a Birkin bag.

Riya left the boutique without making the purchase she had planned. Surprisingly, rather than feeling disappointed, she became even more determined to own the bag. Over the following months, she purchased silk scarves, perfumes, belts, and home accessories from Hermès while frequently visiting the boutique to interact with its sales consultants. The handbag she originally wanted had become more than an accessory—it had become a personal aspiration.

The Heritage of Hermès

Founded in Paris in 1837 as a manufacturer of high-quality saddlery and equestrian goods, Hermès gradually evolved into one of the world's most prestigious luxury brands. Unlike many luxury companies that relied heavily on celebrity endorsements, aggressive advertising, or seasonal discounts, Hermès carefully cultivated an image of timeless craftsmanship, exceptional quality, and controlled exclusivity. Every Birkin and Kelly handbag was handcrafted by a single artisan, often requiring more than twenty hours of meticulous work. Production volumes remained intentionally limited despite growing global demand.

This philosophy differentiated Hermès from many luxury competitors. Rather than maximizing sales volume, the company prioritized preserving scarcity, protecting brand prestige, and maintaining long-term desirability. Management believed that luxury should remain difficult to access because exclusivity itself contributed to perceived value.

Understanding Consumer Motivation

An international consumer research firm conducted interviews with affluent luxury consumers across Paris, Dubai, Mumbai, London, Singapore, and New York to understand why individuals pursued Hermès products despite their extraordinary prices and limited availability.

Interestingly, respondents rarely identified leather quality or craftsmanship as their primary motivation. Instead, consumers repeatedly described the Birkin bag using words such as "achievement," "recognition," "success," "legacy," "identity," and "personal reward."

Several professionals explained that purchasing a Birkin represented the successful completion of important career milestones. Entrepreneurs viewed it as evidence of years of hard work, while senior executives associated ownership with professional accomplishment. For many consumers, the handbag functioned as a visible representation of personal success rather than merely a fashion accessory.

Psychologists analysing the interviews concluded that Hermès satisfied higher-order psychological needs associated with esteem, achievement, belonging, and self-actualization rather than basic functional needs.

Scarcity and Consumer Perception

Hermès' controlled distribution strategy significantly influenced consumer perceptions. Unlike many luxury brands with extensive retail networks and online availability, Hermès deliberately restricted access to its most desirable products. Consumers interpreted this scarcity as evidence of exceptional quality and authenticity.

Market researchers observed an interesting behavioural pattern. When consumers learned that a Birkin bag was difficult to obtain, their desire to own it frequently increased. Scarcity transformed the handbag from a purchasable product into a rare opportunity. Many respondents admitted that the exclusivity itself made the product appear more valuable, even though its functional utility remained unchanged.

Luxury consultants referred to this phenomenon as "desirability through scarcity," where limited availability enhanced emotional attachment and willingness to pay premium prices.

Self-Concept and Social Identity

Consumer interviews further revealed that Hermès ownership was closely connected with self-concept. Owners often described the brand as reflecting who they believed they had become rather than who they wanted others to perceive them to be. They emphasized discipline, refinement, patience, appreciation for craftsmanship, and financial independence.

However, observational research conducted at luxury shopping districts suggested another dimension. Consumers carrying Birkin bags frequently attracted attention from peers, colleagues, and strangers. Luxury ownership influenced social interactions, professional networking, and perceptions of social status. While owners often denied purchasing products for external recognition, many acknowledged that luxury products communicated subtle social signals regarding success, taste, and exclusivity.

This contrast between personal identity and social identity created an interesting tension within consumer motivations.

Influence of Reference Groups and Digital Media

Although Hermès invested relatively little in traditional advertising, digital media significantly amplified consumer desire. Fashion influencers documented boutique visits, celebrities carried Birkin bags during public appearances, and social media creators analysed leather types, colour combinations, waiting experiences, and resale values.

Interestingly, many consumers first became aware of the Birkin through influential reference groups rather than official marketing communication. Online communities discussed acquisition strategies, boutique relationships, and investment potential, creating an ecosystem where ownership symbolized membership within an exclusive social group.

Researchers observed that repeated exposure to such content gradually normalized extremely expensive purchases among affluent consumers. Individuals who initially considered luxury handbags unnecessary gradually began perceiving them as meaningful long-term investments or personal achievements.

Consumer Decision-Making

Unlike routine fashion purchases, acquiring a Birkin bag involved extensive decision-making. Consumers often spent months or years searching for information, evaluating alternatives, discussing purchases with family members, analysing resale markets, comparing leather options, and considering opportunity costs.

Financial affordability represented only one component of the decision. Buyers also considered emotional readiness, timing, symbolic meaning, and future satisfaction. Several respondents admitted experiencing cognitive dissonance immediately after making the purchase because they questioned whether spending such a substantial amount on a handbag was rational. Nevertheless, positive reinforcement from peers, admiration from social circles, and long-term appreciation of the product frequently reduced post-purchase doubts.

The Strategic Challenge

Although Hermès remained one of the world's most admired luxury brands, changing consumer expectations created new strategic challenges. Generation Z consumers increasingly valued sustainability, transparency, inclusivity, and digital accessibility. Many questioned whether exclusivity based on limited availability remained compatible with modern consumer values.

Simultaneously, counterfeit products flooded global markets, reducing exclusivity while increasing consumer confusion. Digital resale platforms expanded access to pre-owned luxury products, allowing consumers to bypass boutique purchasing relationships entirely.

Within Hermès' executive leadership team, two strategic perspectives emerged.

One group argued that the company's future success depended on preserving absolute exclusivity, even if sales growth remained moderate. They believed scarcity, craftsmanship, and controlled access constituted the essence of luxury branding.

Another group suggested carefully expanding digital engagement, increasing product accessibility for younger affluent consumers, and communicating sustainability initiatives more actively without compromising craftsmanship.

The Chief Executive Officer summarized the debate with a fundamental strategic question:

"Does luxury remain luxurious only when everyone cannot own it, or must luxury evolve to remain relevant for a new generation of consumers?"

Questions

1. Identify the intrinsic and extrinsic motivations influencing Riya's desire to purchase a Birkin handbag.
2. Apply Maslow's Hierarchy of Needs to explain Hermès consumers' motivations.
3. How does Hermès contribute to consumers' actual self-concept and ideal self-concept?
4. Should Hermès increase accessibility for Generation Z consumers while maintaining exclusivity? Justify your recommendation.
5. How should Hermès respond to the growth of luxury resale platforms without weakening its brand equity?
6. Design a consumer behaviour-based strategy that strengthens Hermès' appeal among younger affluent consumers while preserving its heritage.

Case Study 3- Nykaa's Virtual Beauty Advisor: Are Consumers Buying Products or Digital Confidence?

The Campaign That Changed Customer Behaviour

To improve online shopping experiences, Nykaa introduced an AI-powered Virtual Beauty Advisor within its mobile application. Instead of asking customers to browse thousands of cosmetic products, the feature analysed skin concerns, preferred makeup styles, age, climate, and previous purchases before recommending suitable products. Customers could also virtually "try on" lipstick shades and foundations using augmented reality before making a purchase.

Within three months, the company observed that users who interacted with the Virtual Beauty Advisor spent considerably more time on the app and purchased more premium products than customers who simply searched products manually.

An Unexpected Consumer Response

Despite positive business results, customer feedback revealed mixed reactions. Many users appreciated personalized recommendations and believed the technology simplified decision-making. Several customers stated that the virtual try-on feature reduced uncertainty while purchasing expensive beauty products online.

However, another group expressed frustration. Some users complained that recommendations became repetitive after a few purchases. Others questioned whether the AI genuinely recommended the best products or simply promoted brands that paid higher promotional fees. A few customers also reported feeling uncomfortable after noticing that advertisements on social media reflected products they had recently explored on Nykaa.

Beauty Communities Become More Influential

Interestingly, Nykaa's internal analytics showed that many customers no longer relied solely on the app's recommendations. Before completing a purchase, they visited Instagram, YouTube, Reddit, and beauty discussion forums to compare reviews from creators, dermatologists, and existing users. In many cases, customers ignored Nykaa's suggested products and instead purchased items recommended by influencers with whom they had developed long-term trust.

The marketing team realized that while artificial intelligence could recommend products based on browsing behaviour, digital communities often shaped consumers' final purchase decisions.

A New Strategic Question

Nykaa's management now faced an important decision. One proposal suggested investing heavily in more advanced AI recommendation systems to increase personalization and encourage higher-value purchases. Another proposal recommended strengthening creator partnerships, customer reviews, and community-driven content, arguing that consumers trusted real experiences more than automated suggestions.

The leadership team needed to determine which approach would better support long-term customer satisfaction and digital trust.

Questions

- Identify the stages of the online consumer decision-making process reflected in this case.
- Discuss the relationship between personalization and consumer trust in digital commerce.
- Explain the role of AI in influencing digital consumer behaviour.
- Should Nykaa prioritize AI-driven personalization or community-driven recommendations? Justify your answer.
- What ethical concerns arise when companies use consumer browsing data for personalized recommendations?
- Suggest three strategies that Nykaa can adopt to improve digital consumer trust without reducing personalization.
- If you were Nykaa's Digital Marketing Head, how would you balance artificial intelligence, influencer marketing, and customer privacy to enhance long-term consumer engagement?

CASE STUDY 4

Amazon Prime: Why Do Millions Continue Renewing a Membership They Hardly Use?

A Curious Observation

During an annual review of subscription data, Amazon India's customer insights team noticed an unusual pattern. A significant proportion of Prime members had renewed their annual subscriptions even though they had used only a few Prime benefits during the previous year. Many customers had watched very little content on Prime Video, ordered only a handful of products with free delivery, and had never used Prime Music, Prime Reading, or Prime Gaming. From a purely economic perspective, these customers had not fully utilized the services they were paying for.

Surprisingly, renewal rates within this segment remained consistently high.

Looking Beyond Usage Statistics

To understand this behaviour, Amazon commissioned qualitative interviews across major Indian cities. Many respondents admitted that they rarely calculated whether the subscription actually saved them money. Instead, they described Prime membership as something they simply preferred to keep active.

Several customers explained that they enjoyed knowing their orders would arrive quickly whenever they decided to shop. Others appreciated the convenience of not worrying about delivery charges. Some respondents admitted that they renewed automatically because cancelling the subscription required them to actively reconsider a service they had become accustomed to having.

One respondent commented,

"I may not use every benefit, but I don't want the day to come when I suddenly need Prime and realise I don't have it."

When Convenience Becomes an Expectation

Consumer interviews revealed another interesting pattern. Many subscribers no longer viewed free one-day delivery as a premium benefit. Instead, they considered it the normal standard of online shopping. Waiting four or five days for delivery began to feel inconvenient, even though it had once been accepted by most online shoppers.

Similarly, members who occasionally watched exclusive Prime Video content or accessed early shopping deals felt these benefits increased the overall value of the subscription, even if they used them infrequently. Rather than evaluating each service separately, consumers judged Prime as a complete ecosystem.

The Psychology of Renewal

Behavioural researchers analysing the interviews observed that long-term Prime members rarely compared competing subscription services before renewing. Most respondents had

stopped evaluating alternatives after becoming familiar with Amazon's ecosystem. Their previous positive experiences, stored payment methods, personalized recommendations, and confidence in customer service reduced the motivation to search for competing options.

Interestingly, several participants admitted they renewed the membership without reading the renewal reminder carefully. The subscription had gradually shifted from being a deliberate purchase decision to becoming a routine financial commitment.

A Different Kind of Loyalty

The research team also found that customer loyalty was not always driven by emotional attachment to the Amazon brand. Instead, loyalty appeared to arise from accumulated convenience. Consumers valued the time saved through faster deliveries, simplified returns, secure payment options, and the confidence that most online purchases could be completed without complications.

For many members, Prime represented predictability rather than excitement. Even customers who occasionally found lower prices on competing platforms continued purchasing from Amazon because they trusted the overall shopping experience.

An Emerging Challenge

At the same time, the research highlighted an important warning. Younger consumers increasingly subscribed to multiple digital ecosystems simultaneously. They compared prices across e-commerce platforms, streamed content from different providers, and frequently switched between shopping apps depending on discounts and offers.

The customer insights report concluded that while Prime members remained loyal today, future loyalty might depend less on habit and more on continuously delivering meaningful value. If consumers began questioning whether they truly benefited from the subscription, renewal decisions could become far more deliberate than automatic.

Questions

1. Why did many Amazon Prime members continue renewing their subscriptions despite limited usage?
2. Identify examples of **habit formation** reflected in the purchasing behaviour of Prime members.
3. Explain the relationship between perceived value and subscription renewal.
4. Is Amazon Prime's customer loyalty primarily behavioural loyalty or attitudinal loyalty? Justify your answer.
5. If younger consumers become less loyal and more price-sensitive, what strategies should Amazon adopt to increase long-term Prime membership renewals?
6. Design a relationship marketing programme that strengthens consumer loyalty without relying solely on discounts.

Case Study 5

Surf Excel: When Parents Buy a Detergent for Values Rather Than Stain Removal

A Weekend Shopping Observation

During a consumer behaviour research exercise, MBA students were asked to quietly observe shoppers in the detergent aisle of a large supermarket without interacting with them. Over two weekends, they recorded nearly eighty purchase decisions involving detergent brands.

Most shoppers spent less than two minutes in front of the shelf. Some immediately reached for the same brand without comparing alternatives, while others examined promotional offers, package sizes, and prices. Surprisingly, several consumers selected Surf Excel even though competing brands offered larger packs or temporary price discounts.

When interviewed after checkout, very few shoppers mentioned stain-removal technology as the main reason for their purchase.

An Unexpected Conversation

One observation particularly attracted the researchers' attention.

A young boy picked up a cheaper detergent and asked his mother why she always bought Surf Excel.

The mother smiled and replied,

"Every detergent cleans clothes. But whenever I see Surf Excel's advertisements, I feel it understands childhood. Children should learn, play, fall, help others and enjoy life. Dirty clothes can always be washed."

Interestingly, her explanation contained almost no discussion about product performance.

Different Meanings for Different Consumers

Over the following days, researchers noticed that consumers attached different meanings to the same brand.

Parents frequently associated Surf Excel with responsible parenting, childhood memories, and positive values.

Working professionals described it as a dependable brand that never disappointed them.

Older consumers explained that they had purchased the brand for years because it had become part of their household routine.

Meanwhile, several college students admitted that they simply bought whichever detergent was already used at home because they had never seriously considered alternatives.

The same product appeared to represent entirely different ideas depending on the consumer.

Advertising Beyond Cleaning

Researchers later reviewed several years of Surf Excel advertisements.

Many campaigns focused on friendship, kindness, inclusion, festivals, empathy, and helping others.

Children were shown protecting classmates, celebrating together despite differences, or willingly getting dirty while performing acts of kindness.

Product demonstrations occupied only a small portion of the communication.

Instead of convincing consumers that Surf Excel removed stains better, the advertisements attempted to associate the brand with meaningful life experiences.

A Small Experiment

The researchers invited twenty regular Surf Excel buyers to watch three detergent advertisements.

The first advertisement emphasized stain-removal technology.

The second focused entirely on emotional storytelling without mentioning product features.

The third concentrated on price discounts.

Participants later discussed which advertisement they remembered most clearly.

Interestingly, most participants recalled the emotional story in considerable detail, but struggled to remember technical claims or promotional offers.

Several participants admitted they had never questioned whether Surf Excel actually cleaned better than competing brands because they already believed it was a "good brand."

A Different View

Not everyone shared the same opinion.

Some consumers believed emotional advertising distracted attention from price and actual product performance.

A few respondents argued that detergent advertisements should communicate measurable cleaning effectiveness instead of emotional messages.

Others appreciated value-based advertising but admitted that during periods of financial pressure they readily switched to lower-priced alternatives.

This suggested that positive attitudes toward a brand did not always guarantee consistent purchasing behaviour.

Questions

- 1. Identify the cognitive, affective, and behavioural components of consumers' attitudes toward Surf Excel.**

- 2. Explain how Surf Excel's advertising contributes to attitude formation rather than merely product awareness.**
- 3. Apply the Tri-Component Attitude Model to analyse consumer behaviour in this case.**
- 4. Does a positive attitude always result in purchase behaviour? Explain using evidence from the case.**
- 5. How might attitudes toward Surf Excel differ across urban and rural consumers?**
- 6. If a competing detergent launched a superior stain-removal technology at a lower price, would Surf Excel's emotional positioning still provide a competitive advantage? Explain.**

CASE STUDY 6

Paytm: Trust Lost, Trust Regained? Understanding Consumer Behaviour in India's Digital Payment Ecosystem

The Consulting Assignment

A consulting firm was hired by a consortium of digital payment companies to understand how consumers responded to regulatory uncertainty in India's digital payment market. As part of the study, the consultants selected Paytm because of its large customer base, widespread merchant network, and the significant public attention it received following regulatory actions affecting one of its banking entities.

Instead of surveying consumers through structured questionnaires, the consultants collected narratives from different stakeholders—including small retailers, salaried employees, college students, online sellers, and neighbourhood merchants. Their objective was not to determine whether consumers liked Paytm, but to understand **how trust influences digital payment behaviour**.

Merchant Perspective

A grocery store owner in Jaipur explained that nearly 80% of his daily transactions were completed through UPI. For years, Paytm QR codes had become a familiar part of his shop. Following widespread media coverage of regulatory developments, several regular customers began asking whether payments through Paytm remained safe. Although transactions continued without interruption, the merchant noticed that many customers voluntarily shifted to Google Pay or PhonePe within a few weeks.

Interestingly, the merchant himself continued using Paytm because he understood the difference between the company's payment services and the regulatory action. However, he admitted that explaining this distinction to every customer was nearly impossible.

Consumer Perspective

A postgraduate student in Pune had been using Paytm for almost six years. She regularly paid electricity bills, booked movie tickets, recharged her mobile phone, and transferred money using the application. When news reports about regulatory action appeared, she immediately downloaded another payment app.

When asked whether she had personally experienced any failed transactions or financial losses, she replied, "No."

When asked why she shifted, she answered, "I didn't want to take any chances."

Her decision was influenced not by personal experience but by uncertainty created through continuous news coverage.

Family Influence

In Hyderabad, a software engineer described a different situation. His parents had recently started using digital payments after the COVID-19 pandemic. They were comfortable using only one payment application because they found digital finance difficult to understand.

After watching television debates discussing Paytm, they insisted on deleting the application from their smartphones. Despite repeated explanations from their son, they believed using another payment app would be "safer."

Their decision reflected confidence in familiar advice rather than technical knowledge.

Online Conversations

The consultants also analysed thousands of public posts on social media platforms. Some users defended Paytm, pointing out that UPI services continued functioning normally. Others shared screenshots of news headlines without fully understanding the underlying regulatory details. Several posts simply advised friends and relatives to "shift to another app."

The study found that many consumers formed opinions after reading comments from family members, influencers, or online communities rather than official company announcements.

Returning Users

Six months later, researchers revisited a sample of previous respondents. Surprisingly, several consumers had returned to Paytm for specific services such as ticket booking, utility payments, cashback offers, and merchant payments. They explained that after observing uninterrupted services over time, their confidence gradually returned.

One respondent remarked,

"I realised I had stopped using it because of fear, not because of any problem I actually faced."

The Consultant's Observation

The consulting team concluded that digital payment decisions were rarely based only on technology or service quality. Consumers continuously balanced convenience, familiarity, media influence, perceived security, family opinions, and personal confidence before deciding whether to continue using a digital platform.

The report ended with one sentence:

"In digital finance, trust can decline within days through perception, but rebuilding that trust often requires months of consistent consumer experience."

Questions

1. How did media coverage influence consumer decision-making?
2. Discuss the impact of **electronic word-of-mouth (e-WOM)** on digital payment behaviour.
3. Which stages of the consumer decision-making process were influenced most by perceived risk?
4. Why did several consumers eventually return to Paytm?

5. Suggest three consumer behaviour strategies Paytm could adopt to rebuild trust among hesitant users.
6. If you were Paytm's Consumer Insights Manager, how would you communicate during periods of regulatory uncertainty to minimise consumer switching?

CASE STUDY 7

MDH: Can Heritage Alone Preserve Consumer Preference in a Changing Spice Market?

Market Intelligence Note – Retail Audit Findings

A six-month retail audit covering supermarkets, neighbourhood kirana stores, and modern retail outlets across Delhi, Jaipur, Chandigarh, Lucknow, and Indore examined purchasing patterns in the packaged spice category. The study found that although dozens of national, regional, and private-label brands were available, MDH continued to enjoy remarkable repeat purchases among long-term household consumers. However, purchasing behaviour varied considerably across age groups. Consumers above forty-five years generally entered stores with a predetermined preference for MDH, whereas younger shoppers spent more time comparing brands, reading ingredient labels, evaluating packaging, and checking online ratings before making a purchase.

Household Purchase Diaries

As part of the study, selected households maintained purchase diaries for three months. Many respondents recorded that they had never consciously evaluated alternative spice brands because MDH had always been present in their kitchens. Several participants admitted they could not recall the first time they used the brand. Purchasing MDH had gradually become an automatic household routine rather than an active buying decision. In contrast, younger family members frequently experimented with regional spice blends, gourmet seasonings, and premium organic brands after watching cooking videos or following celebrity chefs on social media.

Retailer Insights

Retailers reported that MDH buyers rarely requested detailed product information. Most consumers simply asked for the specific spice variant they had always used. Conversely, shoppers purchasing unfamiliar brands asked questions about flavour intensity, authenticity, origin of ingredients, preservatives, and shelf life. Store managers observed that first-time buyers were more likely to compare alternatives, whereas repeat MDH customers demonstrated little interest in evaluating competing products unless their preferred variant was unavailable.

The Influence of Digital Cooking Culture

The rapid growth of digital food content created new consumer behaviour patterns. Cooking influencers introduced international cuisines, regional recipes, and specialty spice mixes that were previously unfamiliar to many households. Younger consumers increasingly viewed spices not merely as ingredients but as tools for culinary experimentation. Online recipes often recommended specific premium brands or artisanal spice blends, encouraging consumers to explore products beyond traditional household choices. Although MDH remained highly recognizable, digital platforms expanded consumers' awareness of alternatives in ways that traditional retail environments had not.

Brand Familiarity Versus Product Exploration

Consumer discussions revealed an interesting contradiction. Respondents consistently described MDH as trustworthy, authentic, and dependable. At the same time, many younger consumers expressed curiosity about trying newer spice brands that promised farm-sourced ingredients, organic certification, innovative packaging, or region-specific flavours. Even when consumers eventually returned to MDH, their purchasing journeys increasingly involved exploration before reaffirming their original preference. The market therefore reflected a coexistence of strong brand loyalty and growing variety-seeking behaviour.

A Changing Marketplace

Industry analysts predicted continued growth in premium packaged spices, private-label grocery brands, and health-focused food products. While MDH's established reputation remained a valuable competitive asset, future market success would depend on understanding whether consumer loyalty would continue to be transferred across generations or whether younger consumers would build relationships with entirely different brands based on new learning experiences and evolving food habits.

Questions

1. Explain how **consumer learning** contributed to the long-term success of MDH.
2. Which learning theory—**classical conditioning**, **operant conditioning**, or **observational learning**—best explains repeat purchases of MDH? Justify your answer.
3. How did family consumption patterns shape the purchasing behaviour of younger consumers?
4. Explain how intergenerational learning influenced brand preference in this case.
5. Recommend **three consumer behaviour strategies** that MDH could implement to strengthen loyalty among younger consumers without losing its traditional customer base.
6. If you were MDH's Brand Manager, would you focus future marketing communication on **heritage**, **product innovation**, or **digital engagement**? Justify your recommendation using consumer behaviour concepts.

CASE STUDY 8

The Lenskart Paradox: Why Did Customers Walk into the Store but Purchase on Their Mobile Phones?

The Consumer Behaviour Puzzle

Lenskart introduced a new premium eyewear collection across selected metropolitan cities. During the first month, store footfall exceeded company expectations. Customers spent considerable time trying different frames, interacting with store staff, using the AI-powered face-mapping system, and comparing lens options. Store managers were optimistic because consumer engagement inside the stores was unusually high.

However, the sales reports revealed an unexpected pattern. A large proportion of customers left the store without making a purchase. Surprisingly, many of these same customers placed orders for exactly the same frames through the Lenskart mobile application within the next forty-eight hours.

The company realised that store visits were increasing, but purchases were increasingly shifting to digital channels.

Looking Beyond the Transaction

A closer examination of customer behaviour revealed that physical stores and digital platforms were serving different purposes. Consumers preferred visiting stores to check comfort, frame size, face shape, and lens quality because these attributes were difficult to evaluate online. Once they felt confident about the product, many returned home, discussed the purchase with family members, compared prices, checked promotional offers, read customer reviews, and finally completed the purchase using the mobile application.

For these consumers, the store was no longer the place where buying decisions were completed. Instead, it had become a place where buying decisions began.

The Role of Digital Confidence

Many customers explained that purchasing through the app allowed them to make decisions without feeling hurried by sales representatives. Some admitted that they liked taking screenshots of shortlisted frames and sharing them on WhatsApp with friends or family before placing an order. Others waited for app-based discounts, cashback offers, or festive promotions that were unavailable during their store visit.

Interestingly, consumers did not view these behaviours as contradictory. Visiting the store and purchasing online were considered complementary parts of a single buying journey rather than separate activities.

A Different Consumer Segment

Not all customers behaved similarly. Another group followed the opposite pattern. These consumers explored dozens of eyewear options online, used the virtual try-on feature, compared designs, and shortlisted products before visiting the nearest Lenskart outlet. They

wanted only one final confirmation—that the frame looked as good in reality as it did on the screen. Once satisfied, they completed the purchase immediately at the store.

Both groups purchased the same product, but their decision-making journeys were entirely different.

One Purchase, Two Journeys

When analysts mapped the buying process, they discovered that consumers were no longer following a linear path from awareness to purchase. Instead, they moved repeatedly between physical and digital touchpoints depending on the information they needed at each stage. The same customer could begin online, continue offline, return online, and finally seek post-purchase support through the mobile application.

The purchase decision had become an integrated omnichannel experience rather than a choice between online and offline shopping.

Questions

1. Explain how the consumer decision-making process differed between customers who purchased online after visiting the store and those who purchased in-store after researching online.
2. Identify the stages at which consumers switched between physical and digital channels.
3. Which types of information were consumers seeking in physical stores that digital platforms could not fully provide?
4. How did store visits reduce perceived risk before online purchases?
5. Should retailers continue measuring success through **store sales alone**, or should they evaluate the **entire customer journey**? Justify your answer.
6. How can other retailers such as IKEA, Decathlon, or Croma apply lessons from this case to improve omnichannel consumer experiences?

Case Study- 9

Tesla's Entry into Emerging Markets: Understanding the Psychology Behind Premium Electric Vehicle Adoption

The global automobile industry is undergoing one of its most significant transformations since the introduction of mass automobile production. Governments are encouraging electric mobility through policy interventions, manufacturers are investing heavily in battery technologies, and consumers are increasingly considering environmental sustainability while evaluating automobile purchases. Despite these developments, the adoption of electric vehicles differs considerably across markets because purchasing decisions are influenced not only by technological advancements but also by consumer perceptions, infrastructure availability, social influence, and perceived risk.

Tesla has positioned itself as a technology-driven premium automobile manufacturer rather than merely an electric vehicle company. Unlike conventional automobile manufacturers that initially competed on engine performance, fuel efficiency, or pricing, Tesla built its brand around innovation, software integration, autonomous driving capabilities, battery technology, and continuous over-the-air software updates. This positioning has attracted consumers who perceive vehicle ownership as an extension of technological sophistication and progressive lifestyles.

As discussions regarding Tesla's expansion into emerging markets intensified, automotive analysts observed that consumer responses were far from homogeneous. Market surveys conducted in metropolitan regions revealed that awareness of Tesla was exceptionally high even among individuals who had never experienced the brand directly. Many respondents associated Tesla with innovation, sustainability, and cutting-edge technology despite limited physical exposure to the product. Interestingly, several participants demonstrated detailed knowledge of Tesla's features acquired primarily through digital platforms, technology reviews, international media coverage, and social networking communities rather than personal ownership experience.

Further consumer research indicated substantial differences in purchase intentions among potential buyers. Technology enthusiasts viewed Tesla as an opportunity to adopt future mobility solutions before they became mainstream. Environmentally conscious consumers appreciated the reduction in carbon emissions but simultaneously questioned the long-term environmental impact of battery production and disposal. Business executives regarded Tesla as a symbol of innovation and professional success, whereas practical family buyers focused primarily on charging infrastructure, maintenance support, resale value, and service accessibility. These differences suggested that identical products could satisfy entirely different consumer motives depending upon individual lifestyles, values, and risk perceptions.

Industry consultants also identified the growing influence of opinion leaders during high-involvement purchases. Automobile reviewers, technology influencers, financial analysts, and existing electric vehicle owners increasingly shaped public perceptions regarding electric mobility. Consumers frequently relied on YouTube reviews, independent ownership

experiences, discussion forums, and social media communities before visiting dealerships. Unlike conventional automobile purchases, where dealership interactions often represented the primary source of information, prospective Tesla buyers completed substantial information searches before any formal interaction with the company.

Despite strong consumer interest, market analysts highlighted several barriers affecting purchase decisions. The relatively high purchase price increased financial commitment, while uncertainties regarding charging infrastructure, battery replacement costs, insurance premiums, software maintenance, and resale value elevated perceived risk. Even consumers with favourable attitudes toward Tesla frequently postponed purchase decisions because they preferred observing the experiences of early adopters before committing to a significant investment. Consequently, consumer adoption appeared to depend not only on technological superiority but also on confidence generated through visible market acceptance and positive ownership experiences.

At the same time, competing automobile manufacturers accelerated their own electric vehicle portfolios, offering consumers a wider range of alternatives across different price segments. While Tesla continued enjoying exceptionally strong brand recognition, several competitors emphasized localized service networks, established dealership relationships, and lower acquisition costs. Market researchers therefore questioned whether Tesla's technological leadership alone would be sufficient to accelerate adoption in markets where consumer decisions were strongly influenced by perceived risk, infrastructure confidence, and long-term ownership considerations.

As Tesla evaluated its long-term market development strategy, the company recognized that encouraging widespread consumer adoption required more than introducing technologically advanced products. The central challenge involved understanding how different consumer segments adopted innovations at different rates and identifying the factors capable of reducing uncertainty during high-involvement purchase decisions.

Questions

1. Using **Rogers' Diffusion of Innovation Theory**, classify the different consumer segments described in the case as innovators, early adopters, early majority, late majority, or laggards.
2. Which characteristics of innovation (relative advantage, compatibility, complexity, trialability, and observability) are most relevant in explaining Tesla's adoption?
3. Explain why purchasing a Tesla represents a **high-involvement buying decision**.
4. How does consumer involvement influence the extent of information search in this case?
5. Recommend consumer behaviour strategies that Tesla should adopt to accelerate adoption among the **early majority** segment.
6. If you were Tesla's Regional Marketing Director, would you prioritize investments in consumer education, experiential marketing, charging infrastructure partnerships, or influencer engagement? Justify your recommendation using consumer behaviour theories.

CASE STUDY 10

Google Gemini: When Consumers Start Trusting Artificial Intelligence More Than Search Engines

For more than two decades, internet users relied primarily on search engines to satisfy their information needs. Whether consumers wanted to compare smartphones, choose insurance policies, plan holidays, purchase financial products, or evaluate universities, the decision-making process typically involved browsing multiple websites, comparing reviews, and independently synthesizing information before reaching a conclusion. The responsibility for evaluating credibility largely rested with the consumer.

The emergence of generative artificial intelligence significantly altered this behaviour. With the introduction of Google Gemini, consumers could receive structured responses, summarized comparisons, travel itineraries, shopping suggestions, financial explanations, and educational guidance within seconds. Rather than navigating dozens of webpages, users increasingly interacted with a conversational interface that interpreted questions, generated recommendations, and refined responses through continuous dialogue. The technology reduced the effort required to search, compare, and organize information.

Consumer researchers, however, observed that the behavioural implications extended beyond convenience. Early users frequently accepted AI-generated recommendations without independently verifying supporting information. In product comparison exercises, several participants admitted that they preferred Gemini's summarized recommendations over reading lengthy expert reviews because they perceived the responses as faster and easier to understand. Although participants recognized that artificial intelligence could occasionally generate inaccurate or incomplete information, many continued using the system because it reduced cognitive effort during complex decisions.

Further behavioural studies revealed substantial variation across user segments. University students frequently used Gemini to summarize academic articles, generate assignment ideas, and simplify technical concepts before consulting original sources. Young professionals relied on the platform to compare electronic gadgets, investment products, and travel options. Small business owners increasingly used Gemini to draft marketing content, evaluate competitors, and generate customer communication. In contrast, experienced professionals often treated AI responses as preliminary guidance rather than final advice, preferring to validate important information through independent sources before making high-risk decisions.

Researchers also found that the level of consumer trust varied according to the nature of the decision. Consumers demonstrated relatively high confidence when using Gemini for low-risk activities such as recipe suggestions, entertainment recommendations, language translation, or travel planning. However, trust declined considerably when the technology was used for medical advice, financial investments, legal guidance, or employment-related decisions. The same consumers who relied extensively on AI for routine information became noticeably cautious when the perceived consequences of incorrect recommendations increased.

An additional behavioural pattern emerged regarding the transparency of AI-generated information. While many consumers appreciated receiving concise answers, others questioned how recommendations were generated and whether commercial relationships or algorithmic preferences influenced the information presented. Digital literacy experts argued that consumer trust in artificial intelligence would increasingly depend not only on response accuracy but also on explainability, transparency, and users' ability to critically evaluate AI-generated content.

Technology analysts suggested that Google Gemini represented more than a new digital product; it reflected a shift in the consumer decision-making process itself. Instead of independently collecting information from multiple sources, consumers were beginning to delegate portions of their cognitive effort to artificial intelligence. This behavioural transition raised important questions regarding consumer autonomy, information evaluation, and the future relationship between trust and technology-assisted decision-making.

Questions

- Explain the factors influencing consumer trust in Google Gemini using relevant consumer behaviour theories.
- Explain how Google Gemini influences consumers' information search and information evaluation behaviour.
- Why are consumers more willing to rely on AI for travel recommendations than for financial or medical decisions?
- Compare how university students, professionals, and business owners learn from and interact with Google Gemini.
- What strategies should Google adopt to strengthen consumer trust without encouraging overdependence on AI-generated information?
- Should AI platforms provide direct recommendations or encourage consumers to verify information independently? Justify your answer using consumer behaviour concepts.

Case Study 11

FabIndia: Can Sustainable Consumption Become Mainstream in India's Fashion Market?

Over the last decade, sustainability has evolved from a niche environmental concern into an important element of consumer discourse across global retail markets. Fashion brands, in particular, have faced increasing scrutiny regarding excessive resource consumption, waste generation, labour practices, and environmental impact. While international brands accelerated investments in recycled materials, circular fashion, and carbon-neutral production, Indian consumers also began demonstrating greater awareness of handcrafted products, natural fibres, and environmentally responsible consumption.

Against this backdrop, FabIndia occupied a distinctive position within the Indian retail industry. Rather than competing primarily on fast-changing fashion trends, the company built its identity around handcrafted products, artisan livelihoods, natural fabrics, traditional craftsmanship, and rural entrepreneurship. Its merchandise portfolio reflected Indian cultural aesthetics while simultaneously appealing to consumers seeking authenticity, sustainability, and responsible consumption. Consequently, the brand attracted customers whose purchasing decisions extended beyond functional product attributes to include social and environmental considerations.

Consumer research conducted across Bengaluru, Delhi, Pune, Ahmedabad, and Kochi indicated that FabIndia's customer base represented diverse motivations. Some consumers preferred the brand because they valued natural fibres such as cotton, linen, and handloom textiles. Others associated the brand with preserving Indian heritage and supporting artisan communities. A third segment viewed FabIndia as a premium lifestyle choice that reflected personal values regarding responsible consumption. Although these groups purchased similar products, their underlying motivations differed considerably.

However, the same research also revealed an important contradiction. While many respondents expressed positive attitudes towards sustainable fashion, their actual purchasing behaviour frequently differed from their stated beliefs. During interviews, several participants acknowledged that they admired environmentally responsible brands but often purchased lower-priced fast-fashion alternatives because of affordability, convenience, or changing fashion preferences. Others admitted that sustainability became an important consideration only after style, quality, price, and product availability had already been evaluated.

Market analysts described this phenomenon as the attitude–behaviour gap, where consumers' environmental concerns did not consistently translate into purchasing decisions. Younger consumers, in particular, demonstrated strong support for sustainability through social media discussions but simultaneously reported frequent purchases from brands offering rapid product turnover and attractive promotional discounts. Researchers argued that environmental awareness alone did not guarantee sustainable buying behaviour because consumers continuously balanced ethical intentions with economic realities and lifestyle aspirations.

Another notable finding concerned the influence of product transparency. Consumers who received detailed information regarding handcrafted production, artisan involvement, sourcing practices, and environmental impact reported higher levels of trust and stronger purchase intentions. In contrast, respondents expressed scepticism toward brands making broad sustainability claims without providing verifiable evidence. The study suggested that consumers increasingly differentiated between genuine sustainable practices and marketing communication perceived as "greenwashing."

The Indian sustainable fashion market continues to expand as consumers become more conscious of environmental and social issues. Nevertheless, industry experts remain divided regarding the future pace of growth. Some argue that rising education levels, digital awareness, and increasing disposable incomes will strengthen demand for responsible brands such as FabIndia. Others believe that price sensitivity and rapidly changing fashion trends will continue limiting sustainable consumption to a relatively small consumer segment.

For companies operating in this sector, the challenge extends beyond producing environmentally responsible products. It involves understanding how consumer values, attitudes, perceived value, lifestyle aspirations, and economic considerations interact during the purchase decision-making process.

Questions

- 1. Analyse the factors influencing green consumer behaviour among FabIndia's customers.**
- 2. Explain how intrinsic and extrinsic motivations influence purchases at FabIndia.**
- 3. Discuss the reasons for the attitude–behaviour gap observed among environmentally conscious consumers.**
- 4. Besides environmental consciousness, what additional factors influence purchase intention in the sustainable fashion market?**
- 5. Recommend consumer behaviour strategies that FabIndia should adopt to strengthen sustainable consumption among younger consumers.**
- 6. Evaluate whether sustainability alone can provide a long-term competitive advantage in India's fashion retail industry.**

CASE STUDY- 12

Disney+: Who Really Decides What a Family Watches?

The rapid expansion of subscription-based streaming platforms has transformed household entertainment consumption across the world. Unlike traditional television broadcasting, streaming services allow every family member to access personalised content through a single subscription across multiple devices. Consequently, purchasing a streaming subscription is no longer an individual decision but a household decision involving multiple users with different preferences, expectations, and viewing habits.

Disney+ occupies a distinctive position within this market because its content portfolio appeals simultaneously to children, teenagers, parents, and older family members. Animated films, superhero franchises, sports programming, documentaries, regional content, and family entertainment coexist within a single subscription model. This diversity creates a unique consumption environment where several members of the same household derive value from one digital service, although each may use it differently.

A consumer behaviour study conducted among urban households found that the decision to subscribe to Disney+ rarely originated from a single family member. In families with young children, parents frequently reported that repeated requests for animated films or children's series initiated discussions about purchasing the subscription. Teenagers often influenced decisions through recommendations of Marvel or Star Wars content shared among school friends and online communities. In many households, parents evaluated subscription costs, screen-time concerns, and educational value before approving the purchase, while the final payment was typically made by one earning member. Although the subscription was purchased by one individual, its value was assessed collectively by the family.

The research also revealed that consumption patterns varied significantly within households. Children generally consumed content more frequently than adults, while parents tended to watch selected programmes during weekends or holidays. Older family members often preferred documentaries or regional entertainment. Because different family members attached different meanings to the same subscription, overall satisfaction depended on the platform's ability to satisfy diverse preferences simultaneously rather than excelling in a single content category.

Interestingly, conflicts occasionally emerged after the subscription had been purchased. Parents expressed concerns about excessive screen time, children requested access to newly released content, and teenagers compared Disney+ with competing streaming platforms offering exclusive original series. Some families renewed the subscription because children continued demanding access to familiar characters and franchises, whereas others switched between streaming services according to sports seasons, movie releases, or promotional offers. These behaviours indicated that household loyalty toward streaming platforms was dynamic rather than permanent.

Researchers further observed that family discussions frequently extended beyond entertainment preferences. Decisions regarding subscription renewal often reflected broader

household priorities, including monthly budgets, perceived educational benefits, time availability, and the extent to which the platform provided shared family experiences. A service that successfully engaged multiple family members was generally perceived as offering greater value than one serving only individual preferences.

The findings suggest that digital subscription services have expanded the traditional concept of family buying behaviour. Instead of purchasing a tangible product used by one consumer, households increasingly evaluate digital services through collective usage, shared experiences, and the satisfaction of multiple decision participants. Consequently, understanding family buying roles has become essential for firms competing in subscription-based digital markets.

Questions

1. Identify the **initiator, influencer, decider, buyer, and users** involved in the Disney+ subscription decision described in the case.
2. Explain how post-purchase evaluation differs when multiple consumers use the same service.
3. What factors are likely to influence a family's decision to renew or discontinue a Disney+ subscription?
4. How can streaming platforms increase long-term household loyalty without relying primarily on price discounts?
5. Recommend two consumer behaviour strategies Disney+ could implement to strengthen engagement across different family members.
6. Design a segmentation strategy for Disney+ based on family life-cycle stages rather than age alone.

CASE STUDY 13

Dove India: Can a Brand Sell Self-Esteem Instead of Soap?

Introduction

On a Saturday afternoon, 24-year-old software engineer Ananya entered a supermarket in Bengaluru intending to buy a body wash. She had used several popular brands over the years, including Lux, Pears, Nivea, and Fiama. Her shopping list simply mentioned "body wash." However, after spending nearly fifteen minutes comparing products, she eventually chose Dove Deep Moisture Body Wash, priced almost 35 percent higher than competing brands. Interestingly, she admitted that she had not compared the ingredient lists or fragrance profiles. Instead, she recalled Dove's "Real Beauty" campaign, influencer reviews emphasizing gentle skincare, and her dermatologist's recommendation for products with moisturizing properties. "Whenever I think of Dove," she explained, "I don't think about soap. I think about healthy skin and confidence."

Her purchase reflected a broader trend observed across India's urban personal care market. Increasingly, consumers were selecting brands not merely for their functional benefits but for the emotional meanings and identities associated with them. For Dove, the challenge was no longer selling cleansing products; it was sustaining an emotional relationship with consumers in an increasingly crowded and digitally influenced marketplace.

The Indian Personal Care Market

India's personal care industry had experienced rapid growth over the past decade. Rising disposable incomes, increasing awareness of skincare, social media exposure, and expanding organized retail had transformed consumer expectations. Traditional beauty products emphasizing fairness or glamour were gradually giving way to products promoting skin health, hydration, inclusivity, and authenticity.

The category became intensely competitive. Hindustan Unilever's Dove competed with Lux, Pears, Lifebuoy, Santoor, Fiama, Nivea, Himalaya, Mamaearth, Cetaphil, and numerous emerging digital-first brands. International brands promoted dermatological science and premium ingredients, while Indian brands increasingly emphasized Ayurveda, herbal formulations, and sustainability.

Consumers were no longer satisfied with products that simply cleaned the skin. They expected products to align with their lifestyles, values, and beliefs. Marketing communication therefore shifted from product features to emotional storytelling.

Dove's Brand Transformation

When Dove was introduced globally, its positioning revolved around superior moisturization through its signature one-quarter moisturizing cream formulation. For many years, advertising highlighted softer skin, reduced dryness, and dermatologist recommendations.

However, market research revealed a deeper consumer insight. Women frequently expressed dissatisfaction with unrealistic beauty standards portrayed in advertising. Many associated beauty advertisements with pressure rather than empowerment. Consumers increasingly questioned highly edited images and stereotypical portrayals of beauty.

Recognizing this shift, Dove launched its globally acclaimed "Real Beauty" campaign. Instead of professional models, advertisements featured women of different ages, body types, skin tones, and professions. Campaigns focused on confidence, authenticity, and self-esteem rather than perfection.

In India, Dove localized the campaign by featuring women from diverse cultural backgrounds and emphasizing confidence in everyday life rather than glamour. Television commercials, digital films, and social media content encouraged conversations about body positivity and self-confidence.

Gradually, Dove evolved from a skincare brand into a brand representing emotional well-being.

Understanding Consumer Motivation

Extensive consumer interviews conducted by Dove's marketing team revealed that purchasing decisions were influenced by more than skin hydration. Many respondents described using Dove because it made them "feel cared for" or "feel confident." Mothers purchasing Dove for teenage daughters often explained that they wanted products that promoted healthy self-image rather than unrealistic beauty ideals.

Young professionals associated Dove with sophistication and self-care. Working women viewed personal grooming as part of their professional identity. Consumers increasingly considered skincare routines to be investments in physical and emotional wellness.

Psychologists collaborating with the company observed that consumers sought products satisfying multiple levels of need simultaneously. Functional benefits such as cleansing and moisturization addressed physiological needs, while emotional campaigns appealed to belongingness, esteem, and self-acceptance.

The Role of Perception

Although laboratory tests showed relatively small differences in cleansing performance between Dove and several competing brands, consumers consistently perceived Dove as significantly superior. Many believed it contained higher-quality ingredients, offered better protection for sensitive skin, and was safer for long-term use.

Interestingly, blind product testing revealed that participants struggled to distinguish Dove from certain premium competitors based solely on product performance. However, when brand names and packaging were visible, respondents rated Dove significantly higher across quality, trustworthiness, gentleness, and effectiveness.

This demonstrated the power of brand perception in shaping consumer evaluations beyond objective product attributes.

Digital Media and Influencer Marketing

Digital platforms further strengthened Dove's positioning. Dermatologists on YouTube discussed skin barrier protection and often recommended gentle cleansers. Lifestyle influencers shared skincare routines featuring Dove products, while Instagram creators associated Dove with wellness, minimalism, and self-care.

Consumers repeatedly encountered positive user-generated content, reinforcing favorable attitudes. Online reviews, before-and-after testimonials, and influencer endorsements became important information sources during purchase decisions.

However, social media also created new challenges. Competing brands rapidly gained visibility through viral content, celebrity collaborations, and influencer marketing. Digital-native brands such as Minimalist, The Derma Co., and Mamaearth appealed to ingredient-conscious consumers by emphasizing scientific formulations, transparency, and sustainability.

Dove's leadership questioned whether emotional storytelling alone would remain sufficient in an increasingly evidence-driven marketplace.

The Emerging Competitive Challenge

Consumer priorities were changing. Ingredient literacy had increased dramatically. Customers increasingly searched for terms such as ceramides, niacinamide, hyaluronic acid, sulphate-free formulations, pH balance, microbiome-friendly products, and dermatologist-approved ingredients.

Many younger consumers carefully read ingredient labels before purchasing. Online communities frequently compared formulations, questioned marketing claims, and debated product effectiveness.

Meanwhile, premium skincare brands positioned themselves as scientifically superior rather than emotionally inspiring. Digital-first competitors leveraged data analytics, influencer communities, and personalized recommendations to engage consumers more effectively.

Internal research indicated that while Dove continued enjoying exceptionally high brand trust, purchase consideration among Generation Z consumers had begun to stagnate. Many younger consumers admired Dove's values but experimented with newer brands perceived as more innovative.

The Strategic Dilemma

At Dove India's annual strategic planning meeting, senior executives faced a difficult decision.

One group argued that Dove's greatest competitive advantage remained its emotional connection with consumers. They believed continued investment in purpose-driven campaigns, inclusivity, and confidence-building initiatives would strengthen long-term brand loyalty.

Another group advocated shifting marketing communication toward scientific evidence, dermatologist endorsements, ingredient transparency, and measurable product performance. They feared younger consumers increasingly evaluated brands using rational criteria rather than emotional narratives.

A third group proposed integrating both approaches by combining emotional storytelling with evidence-based skincare communication. However, concerns emerged that such repositioning might dilute Dove's distinctive brand identity.

The management team now faced a fundamental question:

Should Dove continue positioning itself primarily as a brand promoting self-esteem and authentic beauty, or should it reposition itself as a science-backed skincare expert to compete with emerging premium skincare brands?

Questions-

1. Explain how Dove changed consumer attitudes toward beauty.
2. Identify the cognitive, affective, and behavioural components of consumer attitudes toward Dove.
3. How can Dove reduce post-purchase cognitive dissonance?
4. What factors may lead loyal Dove consumers to switch to digital-first skincare brands?
5. Should Dove continue emphasizing emotional branding or shift toward scientific skincare communication? Justify your recommendation.
6. Develop a consumer behaviour-based marketing strategy for Dove to strengthen its appeal among Generation Z while retaining existing loyal customers.

CASE STUDY- 14

LG Smart TV: One Product, Four Buyers, Four Different Expectations

The Indian smart television market has experienced substantial growth due to increasing internet penetration, OTT streaming services, smart home integration, and rising disposable incomes. Unlike earlier generations of television purchases, where picture quality and screen size dominated buying decisions, consumers now evaluate products based on operating systems, artificial intelligence features, gaming compatibility, voice assistants, energy efficiency, connectivity, warranty, and compatibility with other digital devices. Consequently, purchasing a smart television has become a complex household decision involving multiple participants rather than a single buyer.

LG has positioned its Smart TV portfolio as a premium home entertainment solution by emphasizing artificial intelligence, OLED display technology, webOS, voice-enabled controls, and seamless integration with connected home devices. However, consumer studies suggest that product evaluation rarely follows a uniform pattern within households. Different family members attach different meanings to the same product, making the purchase process considerably more complex than evaluating technical specifications alone.

A study conducted among upper-middle-income households planning to replace televisions older than six years found that decision-making responsibilities were distributed across family members. Parents often viewed the television as a long-term household investment requiring durability, after-sales service, and energy efficiency. Younger adults evaluated streaming performance, gaming compatibility, and operating system functionality. Senior family members preferred user-friendly interfaces, clear audio quality, and ease of navigation. Children were attracted primarily by screen size, animation quality, and access to online entertainment platforms.

Researchers observed that disagreements rarely centred on whether to purchase a smart television; instead, they focused on which evaluation criteria deserved greater importance. While one family member emphasized long-term reliability, another prioritised advanced technology, and another focused on affordability. During several household discussions, consumers eliminated technically superior alternatives because the product failed to satisfy the collective expectations of all intended users.

An interesting behavioural pattern emerged during retail interactions. Although sales executives frequently directed technical explanations toward the person expected to make the payment, other family members often influenced the final decision through questions regarding usability, aesthetics, warranty coverage, installation support, and compatibility with existing household devices. Retailers reported that families spending more time discussing features among themselves generally postponed purchases, revisited multiple stores, and compared online reviews before making a final decision.

Post-purchase interviews revealed that overall satisfaction depended less on whether the television possessed the highest technical specifications and more on whether each family member believed that his or her expectations had been adequately considered during the

purchase process. Households reporting collaborative decision-making expressed higher satisfaction than households where the decision was dominated by a single individual, even when both groups purchased the same LG model.

The findings indicate that in high-value household purchases, product success depends not only on technological superiority but also on understanding the behavioural dynamics of collective decision-making within families.

Questions

1. Compare the motivations of parents, young adults, senior citizens, and children while evaluating the LG Smart TV.
2. Explain how individual motivations create conflicts during family purchase decisions.
3. Explain why purchasing an LG Smart TV represents a high-involvement buying decision.
4. Why was post-purchase satisfaction influenced more by the decision-making process than by product specifications?
5. If you were LG's Marketing Manager, what communication strategy would you design to address multiple decision-makers within a household?
6. Recommend two in-store retail practices that could improve family purchase experiences for premium consumer electronics.

Case Study- 15- Blinkit: The 10-Minute Promise and the Psychology of Instant Gratification

A behavioural research laboratory collaborated with a retail analytics firm to understand how quick-commerce platforms influence everyday consumer purchasing behaviour. Rather than studying sales figures, the researchers examined purchasing patterns of 180 urban consumers who regularly used Blinkit. Participants voluntarily shared anonymized purchase histories, shopping frequency, and short reflections explaining why particular purchases had been made.

The study revealed that a significant proportion of Blinkit purchases were not planned before consumers opened the application. Many users initially logged in to order one essential item, such as milk, bread, or medicines. However, before completing payment, they frequently added snacks, beverages, desserts, personal care products, or household items that had not been included in their original shopping intention. Consumers often described these additional purchases as "small extras" rather than deliberate buying decisions.

Interestingly, the timing of purchases also displayed consistent behavioural patterns. Orders increased sharply during late evenings, weekends, rainy days, and televised sporting events. Researchers noted that consumers rarely postponed purchases when delivery promises remained below fifteen minutes. In contrast, the same respondents admitted that they would have delayed or cancelled several of these purchases if delivery required several hours or the following day.

Consumer interviews suggested that speed itself had become part of the product value. Participants explained that ordering instantly reduced the inconvenience of interrupting work, travelling to nearby stores, or waiting for traditional deliveries. Several respondents acknowledged that they sometimes ordered inexpensive products from Blinkit despite having identical products available at home because immediate access appeared more satisfying than searching cupboards or visiting neighbourhood shops.

The researchers also identified changes in shopping routines. Weekly grocery planning gradually declined among frequent Blinkit users. Instead of maintaining detailed shopping lists, many participants increasingly purchased products whenever the need arose. Consumers described this approach as more flexible and efficient, while researchers interpreted it as a behavioural shift from planned purchasing toward need-triggered consumption supported by continuous digital availability.

However, not all consumers viewed this behavioural change positively. Some participants reported spending more than intended because repeated exposure to personalized recommendations, limited-time offers, and "frequently bought together" suggestions encouraged unplanned additions to shopping carts. A few respondents admitted that although individual impulse purchases appeared insignificant, their cumulative monthly expenditure had increased noticeably after adopting quick-commerce applications.

The findings indicated that Blinkit's competitive advantage extended beyond logistics and delivery speed. By minimizing the waiting period between desire and fulfilment, the platform appeared to influence the timing, frequency, and spontaneity of consumer purchase decisions.

The behavioural evidence suggested that convenience had evolved from a service attribute into a psychological trigger shaping modern urban consumption patterns.

Questions

1. Why were additional products frequently added to shopping carts even when they were not originally planned?
2. How did time of day, weather conditions, and special events affect consumer purchasing behaviour?
3. How did frequent Blinkit usage alter traditional grocery shopping habits?
4. Discuss whether dependence on quick-commerce platforms represents behavioural convenience or behavioural conditioning.
5. If you were Blinkit's Consumer Behaviour Manager, what ethical strategies would you recommend to encourage impulse purchases without promoting excessive consumer spending?
6. Should quick-commerce companies be responsible for helping consumers distinguish between planned purchases and impulsive purchases? Support your answer using consumer behaviour concepts.

CASE STUDY- 16

Starbucks India: When Higher Prices Created Higher Demand

In early 2025, Starbucks India introduced a limited-edition reserve coffee collection sourced from selected international coffee estates. The beverages were priced substantially higher than the company's regular menu and were available only at a few flagship stores. Industry observers initially expected demand to remain limited because similar premium coffee could be purchased from speciality cafés at lower prices.

Contrary to these expectations, the launch attracted considerable consumer interest. During the first month, several flagship outlets reported that the reserve beverages sold out during weekends. Social media platforms were filled with photographs of customers holding the limited-edition cups, discussing tasting experiences, and sharing visits to Starbucks Reserve outlets. Interestingly, many online posts focused less on the flavour profile of the coffee and more on the experience of trying an exclusive product.

To better understand this behaviour, researchers interviewed customers who had purchased the premium beverages. Most participants acknowledged that they were not experienced coffee connoisseurs and could not confidently distinguish the reserve blend from Starbucks' regular offerings in a blind taste comparison. Nevertheless, they believed the purchase represented "something special," "worth experiencing at least once," or "a premium lifestyle moment." Several respondents stated that the higher price increased their expectations regarding quality even before they tasted the beverage.

The study also found that consumers rarely evaluated the purchase solely in terms of the beverage itself. Visiting a flagship Starbucks outlet, posting photographs on social media, meeting friends in a premium environment, and participating in a limited-time offering collectively contributed to the perceived value of the experience. Many respondents described the purchase as a form of self-reward after examinations, work achievements, or personal milestones rather than an everyday consumption decision.

However, another group of consumers expressed a different perspective. They questioned whether paying significantly more for a cup of coffee could be justified when similar beverages were available elsewhere. Some respondents viewed the purchase as an example of status-oriented consumption rather than genuine appreciation of coffee quality. Despite this criticism, they acknowledged that the visibility of the product on social media had increased curiosity among consumers who had never previously visited a Starbucks Reserve outlet.

The findings suggest that premium pricing does not always discourage demand. Under certain conditions, consumers may interpret higher prices as signals of exclusivity, quality, and social value. The Starbucks Reserve launch illustrates how perceived value can extend beyond product attributes to include symbolic meaning, consumption context, and personal identity.

Questions

1. Explain why consumers were willing to purchase Starbucks Reserve beverages despite their premium prices.

2. How did perceived value differ from the functional value of the product in this case?
3. Apply **Self-Concept Theory** to explain the purchasing behaviour observed in the case.
4. Which levels of **Maslow's Hierarchy of Needs** are reflected in consumers' motivations?
5. If Starbucks introduced this reserve collection as a permanent menu item, how might consumer behaviour change over time?
6. Recommend two consumer behaviour strategies Starbucks could adopt to maintain perceived exclusivity while expanding its premium product portfolio.

CASE STUDY- 17

Zomato: Why Do Consumers Continue Ordering from Restaurants They Have Previously Rated Poorly?

A behavioural analytics study conducted by a university research centre examined six months of anonymised food-ordering data from frequent users of Zomato in five Indian metropolitan cities. The objective was to understand the relationship between customer satisfaction and repeat purchase behaviour. Conventional marketing theory suggests that dissatisfied consumers are less likely to repurchase the same product or service. However, the data revealed several behavioural inconsistencies that challenged this assumption.

One group of consumers consistently awarded certain restaurants ratings of three stars or lower, citing delayed deliveries, inconsistent food quality, missing items, or poor packaging. Surprisingly, many of these consumers placed new orders from the same restaurants within the following few weeks. In several cases, the repeat orders occurred despite the availability of highly rated competing restaurants offering similar cuisines at comparable prices.

Consumer interviews provided further insight. Some respondents explained that occasional dissatisfaction was considered acceptable because previous positive experiences outweighed isolated service failures. Others stated that familiarity with the menu reduced the effort involved in searching for alternatives. A number of participants admitted that when they felt hungry after work or during late evenings, they preferred "safe choices" even if those restaurants had disappointed them before. Convenience, familiarity, and confidence regarding taste frequently outweighed concerns arising from earlier service problems.

A contrasting behavioural pattern was also observed. Some consumers awarded restaurants five-star ratings after a positive experience but never ordered from them again. Follow-up interviews suggested that high satisfaction alone did not necessarily create repeat purchasing. Factors such as restaurant location, promotional offers, cuisine preferences, delivery charges, changing food cravings, and recommendations from friends frequently redirected consumers toward different alternatives despite their positive evaluations.

The researchers also identified the growing influence of contextual factors. Consumers ordering during office hours prioritised delivery speed and reliability, whereas weekend orders were more strongly influenced by mood, social gatherings, and promotional campaigns. In some instances, identical restaurants received different evaluations from the same customer depending on the consumption occasion. Satisfaction therefore appeared to be dynamic rather than fixed.

Another interesting finding involved Zomato's digital ecosystem. Personalised recommendations, "previously ordered" lists, favourite restaurant shortcuts, and reorder options significantly reduced the effort required to repeat earlier purchases. Researchers questioned whether these interface features reinforced habitual behaviour even when previous experiences had been only moderately satisfactory.

The study concluded that repeat purchase behaviour on digital food delivery platforms could not be explained solely through satisfaction ratings. Consumer decisions reflected an interaction of prior experience, situational context, habit, convenience, digital interface design, and perceived effort associated with evaluating alternatives. Consequently, customer ratings and future purchase behaviour were not always directly related.

Questions

1. Apply **Expectation–Disconfirmation Theory** to explain the contrasting behaviours observed among consumers.
2. Why can consumers experiencing moderate dissatisfaction still remain repeat customers?
3. How did different consumption occasions influence customer evaluations and purchase decisions?
4. Explain why identical consumers behaved differently across weekday and weekend purchases.
5. Recommend two consumer behaviour strategies that restaurants listed on Zomato could adopt to convert satisfied customers into loyal repeat customers.
6. Should Zomato rely more heavily on customer ratings or behavioural purchase history while designing personalised recommendations? Justify your answer.